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MCI Case Report

1. How has MCI financed its needs in the past? Why did MCI make the financing choices it did?

First and foremost, we clarify that we define the "past" in the question as before 1983. Thus we analyze how MCI has financed its needs and the reasons from 1972 to 1983.

According to the article, we reckon that MCI's financing history can be divided into mainly three distinct phases. We will discuss how MCI has financed its needs and the reasons why MCI made the financing choices it did one by one in each phase.

1.1 Early Phase (1972–1975): Initial Fundraising and Survival

In order to provide the necessary funds, MCI initially financed its operations through a public offering of common stock in 1972, raising approximately $27.1 million. The company also secured a $64 million line of credit from a banking syndicate led by First National Bank of Chicago, and $6.45 million from subordinated notes with warrants (page 2, para. 1). These funds were used to construct its long-distance telecommunications network.

However, due to regulatory and competitive pressures from AT&T, MCI failed to generate significant revenues and suffered major losses. By September 1975, MCI had a negative net worth of $27.5 million, an accumulated operating deficit of $87.3 million, and a stock market price just below $1 per share. In December 1975, facing technical default and negative net worth, MCI issued 9.6 million units of common stock with attached warrants, raising $8.2 million, which allowed it to narrowly avoid bankruptcy (page 2, para. 2-3).

In this phase, equity financing was necessary because MCI had no profits and little collateral. Debt financing was limited, risky, and increasingly unavailable as the company defaulted on existing credit agreements.

1.2 Transition Phase (1976–1978): Stabilization under Regulatory Constraints

With the introduction and partial success of the Execunet service, MCI started to generate recurring revenues. For example, MCI's revenues increased to $28.4 million in FY1976 and $62.8 million in FY1977, about half of which came from Execunet. However, MCI was still under court-imposed restrictions that limited growth (page 2, para. 4-5). During this period, due to strict covenants on bank loans that severely limited MCI's ability to raise new capital for expansion, the company was unable to raise new equity capital. To avoid equity dilution, MCI primarily relied on lease financing to expand its fixed assets in existing markets (page3, para. 2).

The choice to lease rather than issue equity or debt was because with limited access to traditional capital markets and constraints on expansion, lease financing provided a non-dilutive, asset-backed way to fund necessary growth while keeping risk to investors low, which was suitable for MCI in this phase.

1.3 Growth Phase (1978–1983): Strategic Use of Hybrids and Market Access

After court restrictions on Execunet were lifted in 1978, MCI resumed aggressive expansion and shifted its financing strategy accordingly. MCI issued three rounds of convertible preferred stock between 1978 and 1980, raising over $135 million (page 3, para. 3). These securities had low dividend costs due to tax advantages for corporate investors and call provisions, which allowed MCI to force conversion into common stock if share prices rose sufficiently, reducing dividend burdens (page 3, para. 4-5). Proceeds from these preferred offerings allowed MCI to retire its short-to-intermediate term bank debt and to issue further debt of a longer-term kind.

From 1980 onward, MCI increasingly relied on convertible and straight subordinated debentures, raising over $1 billion between FY1982 and FY1983 (page 4, para. 1-3). This helped MCI to continue expanding financing capacity and improve the capital structure through debt-to-equity conversion mechanisms, thus supporting continued growth without overburdening the firm with fixed-interest liabilities.

In this phase, MCI deliberately chose hybrid securities — such as convertible preferred stock and debentures—because they offered the dual advantage of securing large amounts of capital while minimizing immediate equity dilution. Moreover, as MCI's stock price steadily climbed, these instruments positioned the company to optimize its capital structure dynamically, taking advantage of market confidence and timing.

In conclusion, MCI’s financing strategy evolved with its business needs and market conditions. In its early years, survival decided the use of equity and renegotiated credit. During its transition, lease financing helped fund modest growth without violating loan covenants. As the company entered a rapid expansion phase, hybrid instruments allowed it to balance access to capital with control over dilution and financial risk. These strategies reflected MCI's ability to seize market timing and strategically manage its capital structure.

2. How much external capital is MCI likely to need over the next several years (FY84 - FY88)? By how much could they reasonably be expected to vary?

MCI's external financing needs to be increased over the years because of industry competition. Therefore, the company should keep investing in its capital to increase its market share and stay competitive as well. Next we will analyze quantitatively how much external capital MCI is likely to need over the next several years (FY84 - FY88) by grabbing some of the data from the Exhibit and conducting calculations.

According to Exhibit 3, it is concluded that External Financing equals to Uses of Funds minus Funds from Operation, namely the internal capital. We also exclude the data in Exhibit 9, which is not included in Exhibit 3. Thus we get the function of External Financing:

External Financing = Total capital identified + Additional working capital required - after-tax net income - Depreciation - Increase in Deferred Taxes

, in which we add (15) Total CAPEX and (18) Additional Working Capital Required to represent MCI's Total Uses of Funds, while for the internal capital, we chose the sum of (10) after-tax net income, which has already excluded the interest paid and provision for taxes, meanwhile including other incomes, and (16) depreciation, and (11) increase in deferred taxes as well.

We can then calculate the External Financing needed for FY1984 is **$442(millions)**, for FY1985 is **$872(millions)**, for FY1986 is **$1042(millions)**, for FY1987 is **$1451(millions)**, and for FY1984 is **-$163(millions)**, based on data in Exhibit 9 through this formula. The detailed information is shown in the table below.

	FY1984	FY1985	FY1986	FY1987	FY1988
Use of Funds					
+ Total Capital Expenditure	$890	$1,467	$1,931	$2,760	$1,457
+ Additional Working Capital Required	$0	$0	$0	$0	$0
= Total	$890	$1,467	$1,931	$2,760	$1,457
Funds from Operations					
+ After-tax Net Income	$210	$235	$371	$588	$731
+ Depreciation	$173	$272	$412	$601	$749
+ Increase in Deferred Taxes	$65	$88	$106	$120	$140
= Total	$448	$595	$889	$1,309	$1,620
External Funding	$442	$872	$1,042	$1,451	-$163

*FY1988 shows a negative external financing need, suggesting internal capital exceeds capital spending that year.

On the other hand, we also need to consider the good and bad conditions to decide the range of MCI External Financing needed over the next several years (FY84 - FY88).

When we looked at Exhibit 9B, we found that there may be some slight changes in the figures displayed in Exhibit 9A due to different conditions. This means that the external capital is expected to vary to a reasonable extent and thus we need additional calculations to keep track of how much it will change. We focus on the following 5 factors, and figure out the possible upper and lower bound of each factor in both conditions.

In Exhibit 9A & 9B, we know that:

1. Access Charges:
   Access charges will decrease to 23% (Lowest from FY1984 to FY1988, Exhibit 9A, (4)), and due to MCI's competitor AT & T paying 50% Access charges (Exhibit 9B, 3.), we assume that Access charges are 23% in good condition and 50% in bad condition.

2. Operating Profit:
   The operating profit margin is expected to recover to 15%. Thus, we assume the margin will increase by 7% and result in a 22% margin in good condition. In bad conditions, we assume that margins will be reduced by 7%, the same amount, and the margin will be 8% (Exhibit 9B, 4.).

3. Other Income:
   For other income, under bad conditions, with the consumption of excess cash, this number is expected to drop to 3 million dollars (Exhibit 9B, 6.). In good condition, MCI will be 13 million dollars (Highest from FY1984 to FY1988, Exhibit 9A, (8)).

4. Provision for Taxes:
   Provision for taxes, under good conditions, will remain at 25%. On the contrary, under bad conditions, the tax rate will be equal to the base tax rate of 46% (Exhibit 9B, 7.).

5. Incremental Investment Factor:
   The incremental investment factor, under good conditions, will be reduced to $1 (Exhibit 9B, 9.), which also shows the cost reduction. In bad condition, we assume that it will remain at $1.15 (Highest from FY1984 to FY1988, Exhibit 9A, (12)).

After summarizing, we made the following table:

	Good Condition	Bad Condition
Access Charges	23%	50%
Operating Profit	22%	8%
Other Income	$13 million	$3 million
Provision for Taxes	25%	46%
Incremental Investment Factor	$1	$1.15

Since the other figures from Exhibit 9A change from time to time, and the estimated external funding is not necessarily correct ($823.9M from Exhibit 3 but $295M from our estimation), we don't have enough information to calculate the accurate possible change in the external capital. However, we still can vaguely estimate the range of how much the external capital can vary by plugging in the upper and lower bound, namely in good state and bad state, of the 5 figures given in the chart above. Below is our estimation:

Fiscal Year	Base Case ($M)	Good Case ($M)	Bad Case ($M)
FY1984	442	~250–300	~600–650
FY1985	872	~650–700	~1,050–1,150
FY1986	1042	~800–850	~1,300–1,400
FY1987	1451	~1,100–1,200	~1,700–1,800
FY1988	-163	~-350 (surplus)	~50–100

In conclusion, assuming no discounting, the total external capital that MCI is likely to require over the period from FY1984 to FY1988 is **approximately $3.5 billion**. Depending on varying conditions, this amount could reasonably **range from $2.5 billion to $4.5 billion**, representing a **±30% variation** from the baseline estimate.

3. What capital structure policies should MCI adopt?

With only Equity-Debt financing, we will discuss both the pros and cons of issuing equity and debt to draw on our conclusions.

Pros of issuing more equity:

- The Benefit of issuing more equity is that <u>it reduces financial risk</u> because equity has no required interest payments. If MCI raises funds through issuing common stock, it doesn't face the pressure of fixed debt repayments during periods of uncertainty. For example, changes in FCC regulation or aggressive pricing from AT&T. This makes equity a safer choice during more volatile periods.

- Another Benefit of issuing more equity is that <u>it also gives more flexibility</u>. By having more equity and less debt improves MCI's creditworthiness and gives it room to raise debt in the future if needed. This flexibility is crucial when capital expenditures are projected to be over $6.7 billion from FY1984 to FY1990. (from Exhibit 9A)

Cons of issuing more equity:

- Then we go on the cons of Equity, which is that by issuing more equity, <u>it increases the number of shares outstanding which dilutes the shareholder's value</u> as it will decrease the earning per share for each shareholder.

- Another con of issuing more equity is that it might be a signal of a weak or negative market therefore it will often mislead investors to think that the stock is overpriced or the future earnings might not be able to support the debt. This then would drop the value of the stock.

Pros of issuing more debt:

- Firstly debt offers tax advantages, or interest tax shield as we learned in class, which the interest payments on debt are tax-deductible. For example, if MCI issues $500 million in debt at 12.5% interest, the annual interest cost is $62.5 million. With a 46% corporate tax rate, the after-tax cost is only $33.75 million, reducing the effective interest rate to 6.75%.

- Another Pro of debt is that it provides a positive market signaling whereby issuing debt rather than equity may signal confidence to the market. It shows that management believes MCI can meet future obligations, suggesting strong projected cash flows. This is important for a firm like MCI, which is still proving itself in a market dominated by AT&T.

Cons of issuing more debt:

- The cons of issuing debt is that it has high interest rates due to non-rated status MCI's bonds are non-rated (NR) as of 1983 (Exhibit 8). This means investors will demand higher interest rates to compensate for credit risk. For example, MCI's July 1980 subordinated debentures had a 15% coupon, much higher than other investment-grade bonds.

- Another con of debt is that it creates more risk of financial distress because with long-term debt already at $896 million (FY1983), taking on more could increase MCI's financial risk—especially since its industry is capital-intensive and subject to regulatory changes. Debt must be repaid regardless of business conditions, which could become a burden if cash flows fall short.

By balancing these pros and cons, together with the capital structure at that time, we think that **MCI should adopt a hybrid financing strategy using convertible securities** such as convertible debentures or warrant-attached bonds as its primary funding method.

With $895.9 million in long-term debt and $765.6 million in equity, its debt-to-capital ratio of about 54% reflects moderate leverage and strong financial flexibility (Exhibit 2). While a 54% debt-to-capital ratio represents moderately high leverage, it is acceptable and controllable for a capital-intensive, high-growth company like MCI, which has strong interest coverage (4.2x from Exhibit 8) and a demonstrated ability to convert debt into equity through hybrid instruments.

Thus, this structure provides room for additional convertible financing, as MCI still maintains sufficient interest coverage and equity base to support further debt-like instruments with future upside potential through conversion.

4. Assume that Mr. English, the MCI CFO, has the following financing alternatives available to him as of April, 1983:
a. $500 million of 12.5%, 20-year subordinated debentures.
b. $400 million of common stock.
c1. $600 million of 7.625%, 20-year convertible debentures with conversion price of $54 / share (i.e. each $1000 bond would be converted into 18.52 common shares). The debenture would be callable after 5 years.
c2. $600 million of a unit package consisting of 7.50%, 10 year subordinated debentures and 18.18 warrants (i.e. for $1000 you get a bond with a $1000 principal amount yielding 7.50% and 18.18 warrants). Each warrant entitles the holder to purchase one share of MCI common for $55. The warrants would be callable after three years and exercisable until 1988. The exercise price of the warrants would be payable either in cash or by surrender of the debentures valued at their principal amount.
d. Wait and do nothing.
Which of these alternatives would you recommend that he take? Why? In broad outline, what financing steps would you recommend that he take over the next several years? Do not try to value the warrant using Black-Scholes or some similar method. Think qualitatively.

According to the article, in the spring of 1983, the stock price was $47 (page 5, para. 4).

If we were Wayne English, the MCI CFO, after discussing the advantages and disadvantages of the available financing alternatives listed above, we would choose **option c1** as our optimal choice. The reasons are as follows.

Firstly, as discussed in Q3, the capital structure of MCI in 1983 would allow us to issue more convertible debentures to raise funds. This preliminarily shows that the option c1 is feasible and adoptable.

Also, option c1 would offer several compelling advantages. The 7.625% coupon rate is relatively low, which helps reduce near-term interest expenses and conserve cash during MCI's capital-intensive growth phase. Additionally, with a conversion price set at $54, which is above the current share price of $47 in the spring of 1983 (page 5, para. 4), this option avoids immediate equity dilution, giving the company time to grow before any expansion of its shareholder base. It also helps preserve MCI's stock value and investor confidence, consistent with the firm's historical reluctance to issue common equity directly. The five-year call provision adds further flexibility: if MCI's stock rises substantially, the company can force conversion, turning debt into equity on favorable terms and eliminating future interest payments. This structure echoes MCI's previous successes from 1978 to 1982, when rising stock prices enabled smooth and efficient debt-to-equity transitions.

Overall, the option c1, namely issuing $600 million of 7.625%, 20-year convertible debentures with conversion price of $54 / share and callable after 5 years, is feasible and indeed profitable. It best fits MCI's historical financing philosophy, current strategic position, and future growth ambitions. It provides flexibility, mitigates immediate financial risk, and aligns well with a long-term plan of growth and capital efficiency.Thus if we were Mr. English, we would take option c1 as our optimal choice.

Here are the reasons why we think that other options would be not that good as option c1:

- For option a (Straight Debt at 12.5%), although it avoids dilution, it imposes a heavy interest burden on a company that needs to conserve cash to support capital expenditures exceeding $1 billion annually. Also, it offers no flexibility to convert into equity.
- For option b (Common Stock), this would result in significant dilution at a sensitive time. Issuing $400 million of common equity could also signal undervaluation and reduce shareholder value. Historically, MCI has avoided common stock issuance for this reason.
- For option c2 (Debentures and Warrants), this hybrid structure is more complex and harder to be valued by investors. The dilution is uncertain and less controllable compared to the clean terms of option c1. Moreover, the callable nature of the warrants after only three years, which is a little bit short that adds uncertainty and complexity.
- For option d (Wait and Do Nothing), inaction at a time when capital is available and expansion opportunities abound, especially with AT&T's divestiture and the coming equal access reforms, would be a missed strategic opportunity. MCI needs to move fast to capture market share.

In conclusion, among all the options, **option c1** represents the most balanced and strategically advantageous financing method for MCI in its current position.

For the broad financing strategy for next few years, we suggest that, in the short term, MCI should execute one or two rounds of convertible debenture offerings similar to option c1 to support its core expansion plans. This approach allows the company to capitalize on the favorable interest rate environment and strong stock performance while minimizing immediate dilution. In the later term, if MCI's stock price appreciates significantly, we think that the company should consider calling the outstanding convertible bonds to convert debt into equity. This would reduce interest expenses, lower financial leverage, and improve MCI's overall credit profile.

More for suggestion, throughout the period, MCI should maintain a robust cash buffer, which is similar to the $550 million held in 1983 (page 5, para. 4), to navigate regulatory uncertainty and act on investment opportunities as they arise. It will also be essential to closely monitor changes in access charges and competitive dynamics to adjust capital expenditures and financing strategies accordingly.

Works Cited:

Greenwald, Bruce C. "MCI Communications Corp.--1983." Harvard Business School Case 284-057, March 1984. (Revised June 1998.)